CONDITIONS OF SUBCONTRACT

Selected Commercial Clauses - Extract

Project	Precinct 8 Residential Development, Putrajaya
Works	Reinforced concrete works
Contractor	Pembinaan Bukit Timah Sdn Bhd
Subcontractor	Hiform (M) Sdn Bhd
Document	Extract of selected clauses

4. Written Instructions

4.1 Hiform shall comply with written instructions properly issued by PBT under the subcontract.

4.2 An instruction affecting scope, sequence or method shall be recorded in writing. Where an urgent oral direction is given, it shall be confirmed in writing before it is relied upon for valuation or time entitlement.

9. Variations

9.1 A variation shall be instructed or confirmed in writing by PBT. Hiform shall notify PBT of additional cost or time effect within 7 calendar days after receipt of the instruction.

9.2 Existing BQ rates apply where the varied work is of similar character and executed under similar conditions. Where no suitable rate exists, a reasonable new rate shall be agreed based on demonstrable labour, material, plant and overhead cost where practicable before certification.

9.3 Daywork may be used only where expressly directed in writing and supported by daily records signed by both parties.

13. Takeover, Completion by Others and Back-Charge

13.1 If, in PBT's opinion, Hiform fails to proceed regularly and diligently or to comply with any instruction, PBT may take over the whole or any part of the works on 3 calendar days' written notice and engage others to complete it.

13.2 All costs incurred by PBT in completing the works taken over, including labour, materials, plant, supervision and PBT's overheads, together with the LAD payable under Appendix B, shall be borne by Hiform without any limit.

13.3 PBT may deduct such costs and damages from any sum due or to become due to Hiform, or recover them as a debt. Hiform shall have no claim for loss of profit on any part of the works taken over.

13.4 PBT is not required to obtain Hiform's agreement or to provide a cost breakdown before making any deduction. A dispute by Hiform as to the amount shall not delay or reduce the deduction.

17. Suspension for Non-Payment

17.1 If a certified sum remains unpaid for more than 21 calendar days after its contractual due date, Hiform may give 7 calendar days' written notice of suspension.

17.2 If the certified sum remains unpaid after expiry of that notice, Hiform may suspend the affected works until payment is made. Hiform is entitled to reasonable time relief for a valid suspension under this clause.

18. Termination

18.1 Default termination. PBT may terminate for material default after written notice and a 7 calendar day cure period for a remediable breach.

18.2 Termination for convenience. PBT may terminate the subcontract for convenience on 14 calendar days' written notice.

18.3 On convenience termination, Hiform is entitled to payment for properly executed work, approved materials reasonably ordered for the works and not otherwise reusable, and reasonable demobilisation cost.

19. Payment Following Termination

Amounts properly due for completed work, approved materials and permitted demobilisation cost remain payable after termination, subject to substantiated deductions allowed under the subcontract.

20. Insurance

Hiform shall effect and maintain the insurances set out in the Project Insurance Schedule.